iv Separate Property

A company is a distinct legal entity. A member cannot claim to be owner of the company's property during the existence of the company.

v. Transferability of Shares

Shares in a company are freely transferable. When a member transfers his shares to another person, the transferee steps into the shoes of the transferor and acquires all the rights of the transferor in respect of those shares. There are restrictions in the transferability of shares in case of private companies.

vi. Common Seal



A company is an artificial person and does not have a physical presence. Thus, it acts through its Board of Directors for carrying out its activities and entering into various agreements. Such contracts must be under the seal of the company. The common seal is the official signature of the company. The name of the company must be engraved on the common seal. Any document not bearing the seal of the company may not be accepted as authentic and may not have any legal force.

vii. Capacity to Sue and being sued

A company can sue or be sued in its own name as distinct from its members.

viii. Separate Management

A company is administered and managed by its managerial personnel i.e. the Board of Directors. The shareholders are simply the holders of the shares in the company and need not necessarily the managers of the company.

ix. One Share-One Vote

The principle of voting in a company is one share-one vote i.e. if a person has 10 shares, he has 10 votes in the company. This is in direct distinction to the voting principle of a co-operative society where the "One Member - One Vote" principle applies i.e. irrespective of the number of shares held, one member has only one vote.

Advantages

A joint stock company has many advantages. These are given below:

i. Large Capital

A company can secure large capital compared to a sole trader or partnership. Large amount of capital is necessary for conducting business on a large scale. For e.g. Reliance has invested more than ₹25,000 crore in its telecom venture. Raising such huge amount of funds would be utter impossible in a sole-tradership or partnership.

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